512 AUSTIN HOME

The Austin New Home Builder Negotiation Guide

What builders will move on, what they won't, the questions to ask, and how each Austin builder actually negotiates.

By William Zhang, Austin Realtor · eXp Realty · TREC #811948 · Updated November 2026

THE SHORT ANSWER

Builders rarely move on the base price, because a recorded price cut lowers the comparable sales for every unsold home in the community. What moves is the package: rate buydowns, closing cost contributions, design center allowances and lot premiums on a specific home. The leverage comes from timing and from the individual house, not from the community, and it is strongest on a completed home that has been standing near a quarter or year end.

Negotiate the package, not the price

This is the single most useful thing to understand about builder negotiation. Builders protect the sales price because it becomes a public comparable that affects every other home they have to sell in that community, and it affects your resale too.

So a builder who will not take $15,000 off the price will often find $15,000 in a buydown, closing cost contribution and design allowance. The money is the same to you and it is not the same to them.

Timing is the cheapest leverage you will ever get

Builders manage to closing counts. A home that closes inside the quarter is worth materially more to them than one that closes a week later at a slightly higher price, and the calendar year end is stronger still.

If your timeline is flexible by even two or three weeks, aligning it to a builder's quarter end costs you nothing and is worth more than most of what you could say in the sales office.

Ask about the specific house, not the community

The advertised program is marketing and it applies to everyone. What is negotiable is what sits on top of it for one address.

> Ask which completed homes have been standing longest. Sales offices will generally tell you, and that list is where the concessions live.

> Ask what the builder can add on this specific home beyond the advertised program. The posted offer applies to everyone; what sits on top of it for one address is the actual negotiation.

> Ask for the lot premium separately, and what the same plan costs on an interior lot.

> Ask whether the buydown is permanent or temporary. They are advertised in nearly the same words and are worth very different amounts.

> Ask for a design center allowance rather than a price cut if you are buying a to-be-built. It is the concession builders approve most readily.

Talk to the right person

The agent in the model home is pleasant, knowledgeable, and has limited discretion. Most of what is actually negotiable requires the sales manager, and that is a different conversation that usually happens through your agent rather than across the desk.

It is also worth remembering that everything you tell the on-site agent about your budget, your timeline and how much you love the house is information held by the other side of the

negotiation. They are paid by the builder and they represent the builder.

What almost never moves

> The base price on a to-be-built home in a community that is selling well.

> Option pricing at the design center, which is a published price list.

> Anything at a builder whose whole model is transparent fixed pricing.

> Structural changes at builders who run a tightly standardised process. Decide early there, because later is genuinely difficult.

What each incentive is really worth

Builders advertise these in nearly the same words. They are worth very different amounts.

Rate buydown

The builder pays points to the lender to lower your mortgage rate, either permanently for the life of the loan or temporarily for the first one to three years. A permanent buydown is the more valuable of the two and builders do not always make the distinction clear.

WHAT IT IS WORTH TO YOU

Work it out as a monthly payment difference multiplied by how long you actually expect to keep the loan, not by thirty years. A permanent buydown of a point or more on a mid-priced Austin home is usually worth more than an equivalent price reduction if you keep the mortgage past about five years. If you expect to refinance or move sooner, it is worth considerably less.

THE CATCH

Almost always tied to the builder's in-house lender, and often to their title company as well. The tied loan may carry a higher fee load that eats part of the benefit, so get a full loan estimate from the builder lender and from an outside lender and compare the all-in cost, not the rate.

Closing cost credit

The builder contributes a fixed dollar amount toward your closing costs and prepaid items — title, escrow, the first year of insurance, tax reserves, and loan fees.

WHAT IT IS WORTH TO YOU

Dollar for dollar, and immediately. Unlike a buydown it does not depend on how long you keep the loan. The constraint is that it can only be applied to actual closing costs, so a credit larger than your closing costs is partly wasted unless it can be redirected to a buydown.

THE CATCH

There is a cap on how much a seller can contribute depending on your loan type and down payment, and a credit above that cap is simply lost. Also frequently tied to the in-house lender.

Price reduction

A straight cut to the purchase price. The rarest of these, because it is the one that shows up in the public record.

WHAT IT IS WORTH TO YOU

It lowers your loan, your monthly payment, and your property tax basis, and it is the only incentive that keeps working after you refinance. Per dollar it is the cleanest thing you can get.

THE CATCH

Builders resist it hardest, and for a reason that matters to you too: a recorded price cut becomes a comparable sale for every other home in the community, including yours when you sell. Builders protect the price and pay you in other ways to avoid that. This is genuinely a case where the builder's interest and yours partly align.

Design center allowance

A credit to spend at the builder's design studio on finishes, fixtures, and sometimes structural options.

WHAT IT IS WORTH TO YOU

Worth full value only if you were going to spend it anyway. Builder design-center pricing carries a substantial margin, so a $10,000 allowance does not buy $10,000 of work at contractor prices — it buys whatever the builder charges $10,000 for. Structural items are the exception and are worth taking here, because they cannot be added later at any sensible price.

THE CATCH

It is spend-or-lose, it can only be used at their studio, and it tends to encourage spending past the allowance. Some builders offer a design-center minimum and an allowance in the same breath, which is not the same as a discount.

Extended rate lock or float-down

On a to-be-built home with a long construction timeline, the builder's lender locks your rate further out than a standard lock, sometimes with a one-time float-down if rates fall before closing.

WHAT IT IS WORTH TO YOU

On a build running six months or more this can be worth more than any cash concession, because the alternative is carrying the rate risk yourself on a house you are already committed to buy.

THE CATCH

Extended locks cost money, and somebody pays. Ask explicitly whether the lock is free, built into the price, or charged at closing, and whether the float-down is automatic or has to be requested inside a window.

Before your first sales office visit

Contact your buyer's agent before you set foot in a builder's sales office, because most Austin builders only pay a buyer agent who is registered on your first visit. Text your agent the builder and community name, write the agent's name on the registration card, bring a pre-approval but keep your maximum budget to yourself, and leave with the price sheet, the incentive deadline in writing and the tax rate for that phase. Do not put down a deposit on the first visit.

Why the first visit matters more than the rest

Most Austin builders decide on your first visit whether they will pay a buyer agent. If you sign the guest book alone, many will not pay one on that community afterwards, and some treat that as permanent.

Nobody in the sales office is going to tell you this. The decision gets made on a Saturday morning by someone who did not know they were making it.

Before you go

- [ ] Choose your agent and sign the buyer representation agreement.
- [ ] Text your agent the builder and the community name. Some builders want the agent with you in person on the first visit, others accept a call or an email ahead of time. Your agent will know which.
- [ ] Get pre-approved with an outside lender, so you can compare the builder's loan against a real number.
- [ ] Look up the community's MUD or PID status, so the tax rate does not surprise you.

In the sales office

- [ ] Write your agent's name and brokerage on the registration card. Ask the sales agent to confirm in writing that your agent is registered.
- [ ] Talk about the homes, not your budget. Your maximum price and how much you love the house are negotiating information.
- [ ] Ask which homes are complete and unsold, and how long each has been standing.
- [ ] Ask for the current incentive in writing, with its deadline and whether it requires the builder's lender or title company.
- [ ] Ask for the effective tax rate for the exact phase, including MUD or PID.

What to leave with, and what to leave behind

Leave with the price sheet, the incentive terms and deadline in writing, the lot premium for any lot you liked, and the tax rate.

Leave your checkbook behind. A reservation deposit on the first visit locks you into the builder's timeline before your agent has compared it to anything.

Questions to ask the builder

Price and incentives

- [ ] Which completed homes have been standing longest, and what has each already been reduced by?
- [ ] What is the current incentive, and what is its deadline?
- [ ] Does the incentive require your lender, your title company, or both?
- [ ] Can the incentive go to a rate buydown, closing costs or the design center, and is the split my choice?
- [ ] What is the lot premium on this lot, and is it negotiable?

The monthly payment

- [ ] What is the effective tax rate for this phase, including any MUD or PID?
- [ ] Is the advertised rate a permanent buydown or a temporary one that steps up?
- [ ] What are the HOA dues, and what do they cover?

The build and the community

- [ ] How many phases are left, and how many homes will be built after mine?
- [ ] What is planned on the empty land next to and behind this lot?
- [ ] What is the realistic completion date for a to-be-built home, and what happens if it slips?
- [ ] Can I bring a third-party inspector to the pre-drywall and final inspections?

Questions for an attorney, not the sales office

What the purchase agreement, addenda and warranty actually commit you to is a legal question. The builder's sales agent cannot answer it for you, and neither can your real estate agent. Have a real estate attorney review the paperwork before you sign.

Builder by builder

How each Austin builder tends to negotiate. Where I have closed or negotiated with a builder myself, it says so.

Ashton Woods

Entry-level through move-up, design-led · $350K-$700K

> Ask what the studio package costs against choosing items individually. Sometimes the package is genuinely cheaper and sometimes it is bundling things you do not want.

> Compare Ashton Woods and Starlight homes in person before assuming the cheaper brand is the same house.

Brohn Homes

Entry-level and first move-up · $300K-$550K

> Ask for the standing inventory list and what each home has already been reduced by.

> Confirm the special-district rate for the specific phase rather than the community.

Chesmar Homes

Move-up, Texas-based · $400K-$750K

> Flexibility is the lever here, not discount. Ask for the change you actually want rather than a generic price cut.

> Confirm what is standard versus optional in the specific community — it varies more between Chesmar communities than it does at a national builder.

Coventry Homes

Move-up, part of the"Homes by" family · $400K-$750K

I have closed or negotiated with Coventry Homes.

> Focus on closing costs and the design-center allowance. Base price movement is limited.

> Ask about standing inventory specifically. A completed Coventry spec is a different negotiation from a to-be-built.

> Confirm the lot premium separately and ask what the same plan costs on an interior lot.

D.R. Horton

Highest-volume entry-level · $250K-$450K

> The buydown is the product. Compare the all-in monthly payment, not the price, because the tied financing is where the value sits.

> Ask how many phases are left to build. Buying in the last phase of a subdivision is materially better for resale than buying in the first.

> Inspect anyway. High volume and speed make a third-party inspection more valuable here, not less.

David Weekley Homes

Move-up and semi-custom, employee-owned · $450K-$1M+

I have closed or negotiated with David Weekley Homes.

> Negotiate the design allowance and the lot, not the price.

> In the Hill Country communities, price insurance before you commit. It is a larger variable out there than buyers expect.

> Ask what structural changes are genuinely available on the plan you want; the answer is more often yes here than elsewhere.

GFO Home

Move-up, Texas-based · $350K-$650K

I have closed or negotiated with GFO Home.

> Ask for the specific accommodation you want rather than a generic discount. That is where a regional builder can actually say yes.

> Confirm what is standard in the specific community; it varies between their communities more than at a national builder.

Highland Homes

Move-up and semi-custom, Texas-based · $400K-$900K

> Ask for a design-center allowance rather than a price reduction. It is the concession they are most likely to approve.

> Standing inventory is a different conversation from a to-be-built. Ask what is complete and unsold.

> On a long build, negotiate the rate lock terms explicitly.

KB Home

Entry-level and first move-up, built-to-order · $300K-$550K

> Negotiate the studio allowance and the lot premium separately from the base.

> On a build with a long timeline, the rate lock terms are worth more than a small price concession. Ask what extended lock options exist before you sign.

Lennar

High-volume entry-level and first move-up · $280K-$550K

I have closed or negotiated with Lennar.

> Negotiate the incentive package, not the price. On a completed spec that has been standing, the closing-cost credit and the buydown are where the movement is.

> Ask which completed homes have been standing longest and what each has already been reduced by. Builders will usually tell you, and aged inventory is where the movement is.

> Quarter end and month end are genuinely different from mid-month. Lennar manages to closing counts.

> Get the buydown quoted as a permanent rate on the specific loan product, not as "up to" language in a flyer.

> Register your agent before the first visit. Lennar's on-site agents work for Lennar.

M/I Homes

Entry-level through move-up · $350K-$700K

I have closed or negotiated with M/I Homes.

> Ask directly for the list of homes that can close by quarter end. That list is where the reductions live, and sales agents will usually share it.

> Year end is the strongest window. Reductions on homes that can close by December are a recurring pattern, not a one-off promotion.

> Price the standard energy package into the comparison against a builder who charges for it.

Meritage Homes

Entry-level and move-up, energy-efficiency focused · $300K-$600K

I have closed or negotiated with Meritage Homes.

> Ask which specs have been standing longest. Meritage moves on aged inventory before it moves on a to-be-built.

> Builder incentive deadlines here are frequently quarter-driven. A deal that will not happen in March can happen on March 30.

> Get the HERS rating in writing for the specific home, not the community average.

> Ask whether the advertised buydown is permanent or a temporary 2-1, and price both.

Perry Homes

Move-up and semi-custom, Texas-based · $400K-$900K

> Get everything settled before you commit. This is the builder where "we will sort that out later" costs the most.

> Focus on closing costs and lot premium rather than base price.

> Ask about completed inventory, where there is more room than on a to-be-built.

Pulte Homes

Entry-level through move-up, plus Del Webb 55+ · $350K-$700K

> Price the Pulte Mortgage buydown against an outside lender before accepting the tied incentive.

> At Del Webb, get the full monthly picture: HOA, amenity dues, and any special district, not just the mortgage payment.

> Ask which plans they are trying to move. Builders discount plans, not just homes.

Taylor Morrison

Move-up and semi-custom · $400K-$800K

I have closed or negotiated with Taylor Morrison.

> Separate the three negotiations: base price, lot premium, and design-center allowance. Builders concede on different ones at different times, and bundling them costs you money.

> Ask for a design-center allowance rather than a price cut. It is often easier for them to approve and it is worth more to you if you were going to spend it anyway.

> Before the design appointment, price the option list against what a contractor would charge after closing. Structural items are worth paying for up front. Many finishes are not.

> On a long build, negotiate who absorbs a rate move. Extended locks and float-downs are part of the package, not a favour.

Toll Brothers

Luxury · $600K-$1.5M+

> The design studio allowance is the negotiation. Ask for it in dollars and get it in writing.

> On a long build, extended locks and float-downs matter more than a price concession.

> Look hard at the comparable resale market before overbuilding a lot. At this level the ceiling in a given community is real.

I am a licensed Texas real estate agent, not an attorney. Nothing here is legal advice, and I do not interpret builder contracts, addenda or warranty terms. That is a real estate attorney's job. What I can do is represent you through the negotiation, the inspection and the walkthrough, and tell you when something belongs in front of a lawyer.

Text me before your first visit

Send me the builder and the community you're looking at. I'll get you registered and tell you what I'd ask for on that home.

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